Smart traders learn from everything and everyone. Average traders learn from their experiences; but stupid traders already have all the answers!

So don't wait to pick up money management lessons until you blow up your trading capital. You might have picked a solid trading system that can appear to show a 100% success rate, you may have identified the same trade setup in the live market, but one tweet from an influential person can change the fate of your trade. Also, any natural calamities like an earthquake or war announcements between two countries can create an adverse impact on your trade.

So, what would happen if you had taken a risk of 25% (of your capital) in one trade? It will wipe out 25% of the money, and only four such trades are enough to wipe out your entire capital.

"*I have two basic rules about winning in trading as well as in life: 1) If you don't bet, you can't win. 2) If you lose all your chips, you can't bet*" – Larry Hite

Most traders end up losing all their chips once they start trading. The key is to make money in trading without taking a major hit to the capital. **Hence never risk more than 2% of the trading capital on any trade**.

Loss Incurred	Gain Required to Breakeven
10%	11.10%
15%	17.70%
20%	25%
25%	33.30%
30%	42.90%
35%	53.90%
40%	66.70%
45%	81.80%
50%	100%
60%	150%
70%	233.30%

Image 6.1 – Loss to Breakeven in %